

Comparative and Global Labor-Market Institutions

Labor Markets and Political/Cultural Institutions – Week 9

Teaching deck draft

Central question

- How do labor-market institutions differ across development settings, welfare states, migration regimes, and global production systems?
- Which lessons travel across contexts, and which estimates are setting-specific?
- The labor margins are wages, employment, unemployment, formality, protection, integration, and working conditions.

Distinction from Week 8

- Week 8: how reforms work once implementation, knowledge, and adjustment are uneven.
- Week 9: how entire institutional regimes differ before any one reform is studied.
- Reform analysis asks what changed.
- Comparative analysis asks what setting, bundle, and governance level condition the effect.

Comparative taxonomy

Dimension	Core question	Labor margin
Formal rules	What does law or policy state?	rights, costs, procedures
Coverage	Who is legally reached?	covered jobs, firms, worker groups
Membership	Who belongs to an organization or system?	union, insurance, migration status
Enforcement	Is the rule credible?	compliance, formality, claims
Complements	What other institutions move with it?	wage-setting, security, adjustment
Governance level	Who regulates?	state, firm, buyer, transnational body

Comparative regime framework

$$Y_{c,s}^{labor} = g(\text{rules}_c, \text{coverage}_{c,s}, \text{enforcement}_{c,s}, \text{complements}_c, \text{global exposure}_{c,s})$$

- Countries, sectors, firms, and worker groups can face different effective institutions.
- Similar legal text can produce different labor outcomes when coverage or enforcement differs.
- Mechanism portability is easier than estimate portability.

Regime domains

Domain	Institution	Observed margin
Welfare states Bargaining systems	UI, EPL, active labor policy coverage, coordination, extension	unemployment, job-finding wages, rents, inequality
Labor regulation indices	employment, collective, social law	rules on paper, protection
Informality regimes	registration, tax, inspection	formality, earnings, compliance
Migration regimes	entry, rights, recognition	integration, matching, firm response
Global production	codes, audits, buyers	conditions, compliance, turnover

Welfare states and complementarities

- Blanchard–Wolfers: shocks and institutions interact in unemployment dynamics.
- Observed margin: aggregate unemployment across countries and time.
- Core comparative point: institutions are bundles, not one-dimensional rankings.
- Welfare interpretation needs security, job-finding, wage-setting, and incidence.

Bargaining systems

- Union membership, bargaining coverage, agreement extension, and coordination are distinct.
- Membership measures organization; coverage measures exposure to wage-setting rules.
- Industrial relations systems affect wages, compression, firm rents, and adjustment to shocks.
- A country comparison must name the actual exposure margin.

Cross-country regulation indices

- Botero–Djankov–La Porta–Lopez-de-Silanes–Shleifer: cross-country labor-regulation coding.
- Identifying variation: legal and institutional differences across countries.
- Observed object: rules-on-paper indices and institutional correlates.
- Main limit: legal text is not implementation, enforcement, or worker coverage.

Informality and development settings

- Informality is an institutional regime, not a missing-data category.
- Ulyssea: informality involves firm registration, payroll, inspection, worker protection, and productivity.
- Observed margins: formality, earnings, firm size, compliance, productivity.
- Comparative caution: the same legal protection can cover very different shares of work.

Migration regimes and integration

- Migration rules govern entry, work authorization, rights, credential recognition, and benefit portability.
- Beerli–Peri–Ruffner–Siegenthaler: Swiss opening to cross-border workers.
- Identifying variation: differential exposure to a migration-regime change.
- Observed margins: firm performance, employment, worker outcomes, matching.

Global supply chains and private regulation

- Labor governance can be transnational: buyers, codes, audits, certification, and supplier management.
- Locke: private power can complement public regulation but has limits.
- Distelhorst–Hainmueller–Locke: Nike supply-chain evidence on management and labor standards.
- Observed margins: compliance, working conditions, social performance, turnover.

Making country evidence travel

Move	What to do
Mechanism first	Lead with wage-setting, informality, integration, bargaining, or conditions
Taxonomy	Place the country in a welfare, bargaining, informality, migration, or supply-chain regime
Leverage	State the reform, border, discontinuity, administrative data, or firm linkage
Observed margin	Name the labor outcome actually measured
Transportability	Say what should travel and what depends on local complements

Critiques of comparative evidence

- The setting may be too idiosyncratic.
- Institutional bundles may confound the focal mechanism.
- Legal categories and outcome measures may not be comparable across countries.
- Equilibrium feedback can differ across labor, product, and political markets.
- Rules on paper can be mistaken for effective implementation.

Empirical design menu

Design	Identifying variation	Observed margin
Cross-country index	legal coding across countries	regulation, protection
Within-country reform	timing, threshold, rollout	wages, formality, unemployment
Border or region exposure	migration or market access	employment, matching, firms
Administrative microdata	regime differences in linked records	earnings, mobility, benefits
Supply-chain data	audit, buyer, certification exposure	compliance, conditions
Historical classification	inherited institutional regimes	modern labor outcomes

What travels

- Mechanisms: enforcement credibility, coverage gaps, informality margins, migration-induced matching, buyer incentives.
- Design logic: what variation identifies and which labor margin is observed.
- Conceptual distinctions: rules versus implementation, coverage versus membership, public versus private governance.
- Comparative taxonomies: regime, sector, border, firm network, or supply chain.

What does not travel mechanically

- Point estimates when capacity, bargaining, informality, market structure, or politics differ.
- Welfare incidence when costs shift across workers, firms, prices, profits, and entry.
- Private regulation effects when buyer commitment or worker voice differs.
- Migration effects when credential rules, firm technology, or local labor supply differs.

- Reproduce: construct a synthetic labor-regulation index inspired by Botero et al.
- Diagnose: classify implementation gaps and transportability risks.
- Transfer: map designs to migration, informality, welfare-state, and supply-chain settings.
- Output: index tables, transportability diagnostic, transfer design classification.

Bridge to Week 10

- Week 9 gives the comparative vocabulary for synthesis.
- Week 10 turns the course into student research designs.
- A strong design names the labor outcome, institutional mechanism, comparison class, identifying variation, and portability claim.
- Institutional detail should sharpen the labor question, not replace it.

Takeaways

- Comparative labor evidence changes how we interpret institutional effects.
- Similar formal rules can operate differently because coverage, enforcement, complements, and global exposure differ.
- Migration and supply chains extend institutional comparison beyond closed national labor markets.
- Country-specific evidence matters when it teaches a portable mechanism with honest limits.